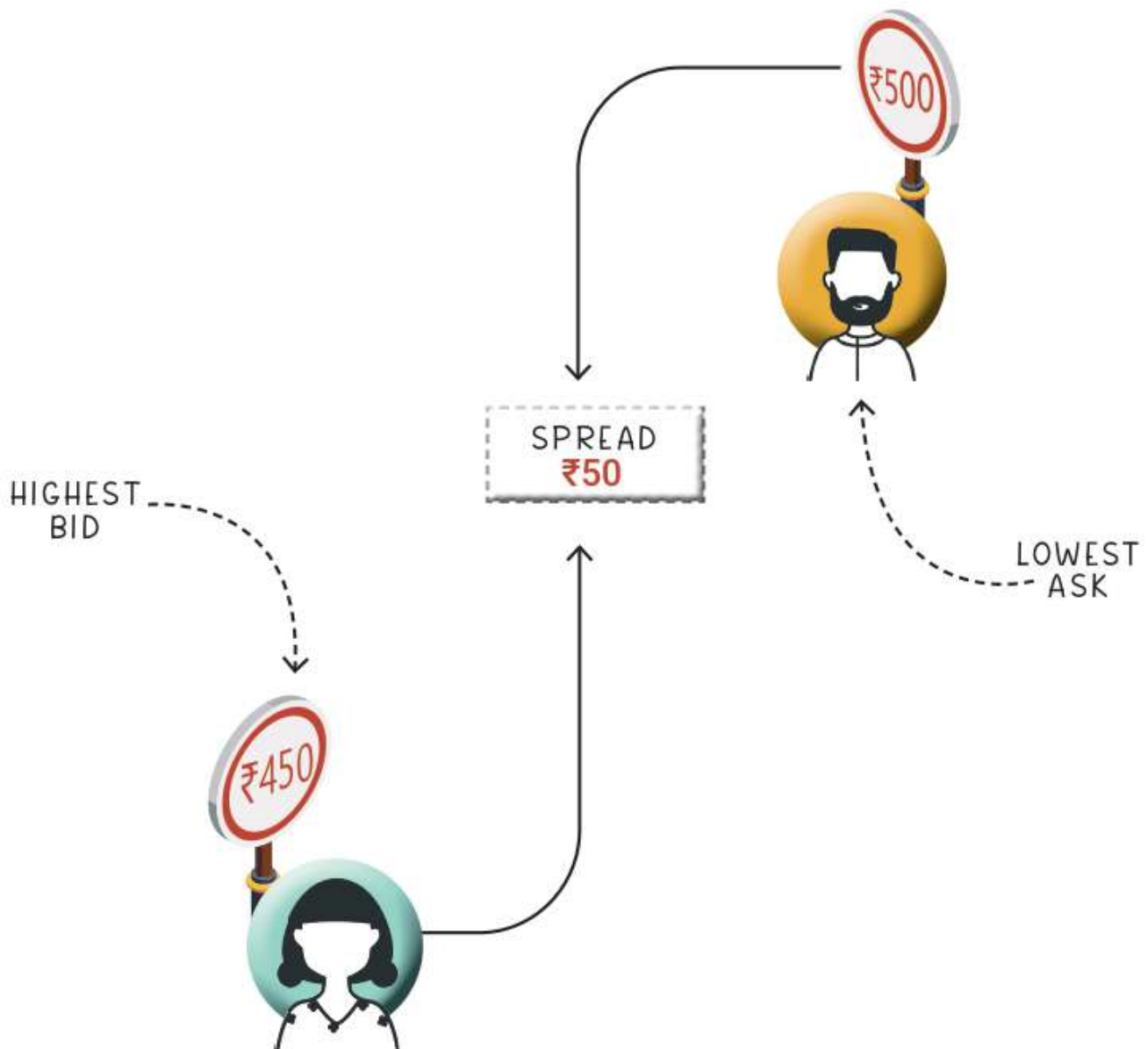


BID-ASK SPREAD

The spread is the difference between the bid and ask price of an asset. The buyers want to buy at the lowest and the sellers what to sell at the highest possible price. This is why there is a spread between the two.



Bid-Ask spread can be low or high depending on the liquidity of the market. If the market is liquid i.e. it has lot of buyers and sellers, then the bid-ask spread would be thin i.e. low. If there are limited number of buyers and sellers, then the bid-ask spread would be high. Bid-ask spread adds to transaction costs when executing any strategy.